

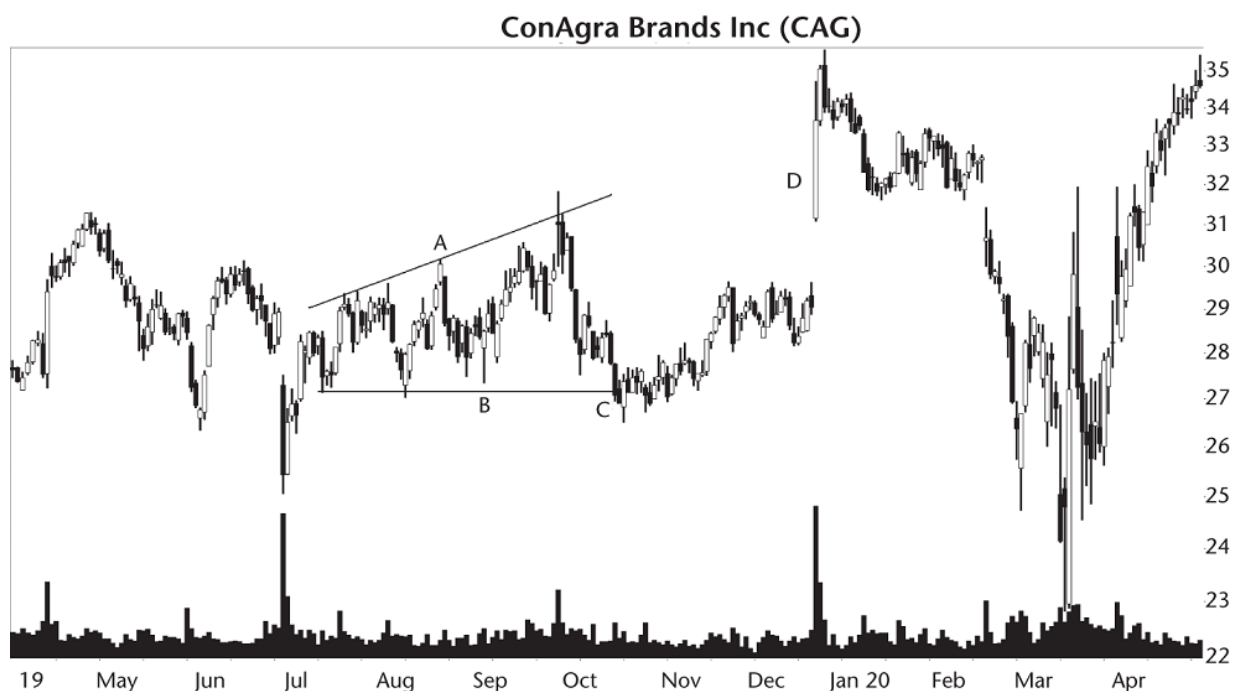


Figure 9.4 The broadening formation breaks out downward, but the stock fails to see price drop far.

Depending on how you draw the horizontal line along the bottom of the chart pattern, the breakout happens at C when the stock closes below the line.

Price makes a lower low before recovering. It's like dipping your toe into water (just after the breakout), finding it too cold for a swim, and scurrying back indoors (when price rises). Price busts the downward breakout at D when a breakaway gap sends price soaring.

Unfortunately, these types of failures happen too often in chart patterns. If you own the stock and it fails to drop more than 5%, then you're in good shape. If you sell a long holding expecting a big decline and it fails to provide one, you might be upset. Chill out. You'll never get out of this life alive.

I don't know of many tips to share that limit these types of failures. One tip is to look at the market trend. If the general market is trending higher, that's a plus. If it's moving sideways, I can live with that, too, but know the ride might be bumpy. A downward trend spells trouble. Do I really want to swim against the current and risk being run over by a jet skier?